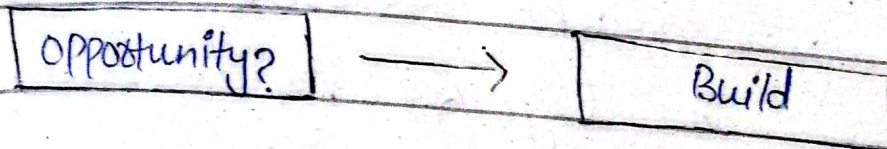
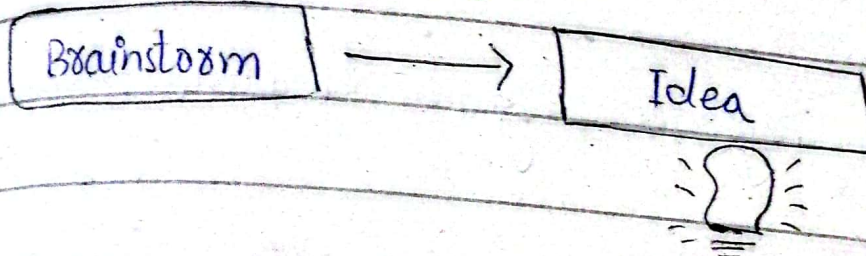


Ch#3

Q. What is difference b/w idea and opportunity?



Idea: $\Rightarrow$ Something imagined or pictured in the mind.

◦ A thought or concept for a product or service.

$\Rightarrow$ An idea refers to a concept or a thought that has the potential to solve a problem, fulfill a need, or create value in the market.

$\Rightarrow$ It is the initial spark that inspires innovation and forms the foundation for a business venture.

Sources of ideas:

$\Rightarrow$ Ideas can emerge from various sources, such as personal experiences, observations of market trends, or brainstorming sessions.

Characteristics of an idea:

⇒ Creativity

Originates from creative thinking

⇒ Abstract

Often lacks concrete plans or strategies initially for implementation

⇒ Individual

Generated by individuals or teams based on their perspectives, skills or expertise.

⇒ Subjective

Value and feasibility are subjective and need validation.

Example:

Problem:

Forgetting important dates and events like birthdays and appointments.

Idea:

Create a mobile app called Remindopal to send customizable

reminders and notifications for various events.

Features:

- Customizable reminders for birthdays, appointment, etc.
- Notification alerts sent to users' smartphones.
- View events in a calendar format.
- Personalize reminder message.
- Set recurring reminders.
- Automatic backup to the cloud.

Target Audience:

- Busy professionals
- Students
- Anyone with a hectic schedule.

Opportunity:

Definition:

⇒ A need, want, problem or challenge that might be satisfied by an entrepreneurial venture.

⇒ An opportunity is a favorable set of circumstances that creates the need for a new product, service or business idea.

⇒ Some firms are started in one of two ways:

- Some firms are internally stimulated. An entrepreneur decides to start a firm, searches for and recognizes an opportunity, then starts a business.

- Other firms are externally stimulated. An entrepreneur recognizes a problem or an opportunity gap and creates a business to fill it.

⇒ A feasible and actionable idea that can generate revenue and create value.

⇒ Identifying opportunities requires a thorough analysis of market dynamics, customer needs, competition and the business environment.

Characteristics:

Viability

Actionable and capable of generating revenue.

Market Demand

Aligns with existing or emerging market needs.

Timing

Requires ^{good} timing based on market conditions.

Resource Alignment

Requires necessary resources for execution.

Example:

Opportunity: Online platform market
Demand:

- Increased need for online education due to COVID-19.

- Traditional tutoring limitations like busy schedules and geography.

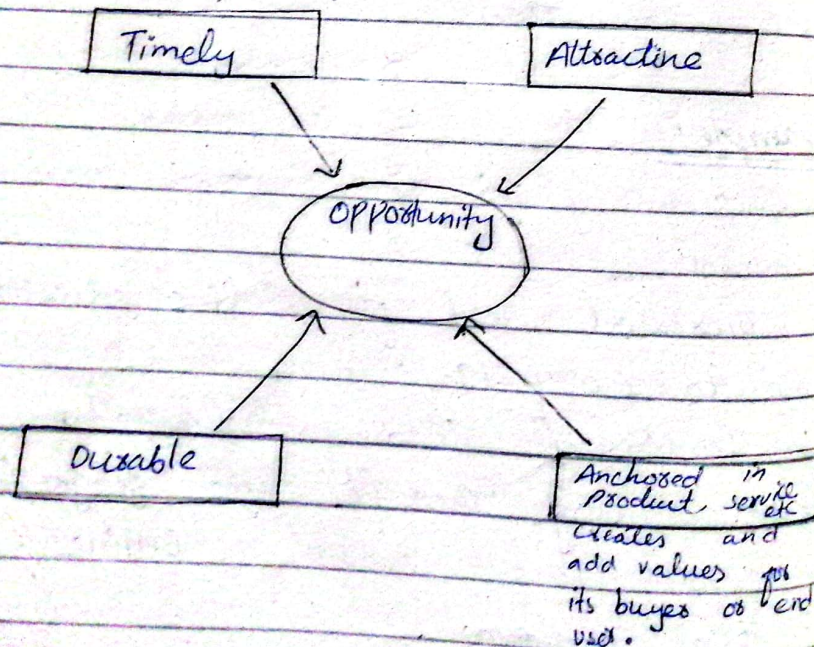
Opportunity: "LearnEase" Online tutoring platform.

Features:

- ⇒ Covers various subjects
- ⇒ Flexible scheduling
- ⇒ Interactive learning tools
- ⇒ Secure payment system
- ⇒ Qualified tutors with background checks.

Qualities of Opportunity:

⇒ An opportunity has four essential qualities:



Ways to identify an opportunity:

⇒ There are three ways to identify an opportunity:

1. Observing Trends
2. Solving a problem
3. Finding Gaps in the marketplace

Idea vs Opportunity

Idea	Opportunity
Concept	Actionable
Notion	Provide value
Impression	can be commercially validated
Seed	can be executed

Conclusion:

Idea and opportunity both are crucial for starting and running a successful business.

Q. What is opportunity gap?

Definition:

It is a gap ^{discrepancy} between what the market offers and what consumers need or desire.

Identification:

Entrepreneurs spot areas where there is a demand not being fully met.

Potential:

Presents an opportunity for entrepreneurs to fill that gap with new products or services.
introduce innovative solutions.

Examples:

Ride sharing services
Gap:

Limited availability and convenience of traditional taxi services.

Consumer Frustration:

Difficulty in finding taxis, long wait times, and unreliable service.

Opportunity:

Entrepreneurs recognize the gap and develop ride-sharing apps like Uber and Lyft.

Solution:

Offers convenient, on demand transportation services through mobile apps.

Success:

These platforms revolutionize the transportation industry.

Q. Explain three ways to identify opportunity?

⇒ There are the following three ways to identify opportunity:

Observing Trends

Solving a Problem

Finding gaps in the marketplace

1. Observing trends:

⇒ Trends create opportunities for entrepreneurs to pursue.

⇒ The most important trends are:

- Economic forces
- Social forces
- Technological advances
- Political and regulatory changes

⇒ It is important to be aware of changes in these areas.

Trend 1: Economic Forces

⇒ Economic forces are all about how money and the economy are changing over time.

⇒ These changes can create opportunities for new businesses to start and grow, as they can make harder for businesses to succeed.

⇒ When the economy is doing well and people have more money to spend, it is good time to start a new business.

⇒ People might be looking for new products or services, and there could be gaps in the market that need filling.

⇒ For example, if there is a trend towards healthier eating, it might be a good time to start a business that sells organic food.

⇒ On the other hand, when the economy is struggling, it can be tough for new businesses to get off the ground.

⇒ People might be spending less money, so there might be ^{not} as much demand for new products or services.

⇒ for example, starting a luxury goods store during a recession might not be the best idea.

⇒ in short, Economic trends help determine areas that are ripe for new start-ups and areas that start-ups should avoid.

Trends: Social Forces

⇒ Social trends alter how people and businesses behave and set their priorities.

⇒ These trends provide opportunities for new businesses to accommodate the changes.

⇒ Social forces is all about how society is changing and how people's behaviors and priorities are shifting over time.

⇒ These changes can create opportunities for new businesses to meet the evolving needs of society.

⇒ These trends create opportunities for new businesses to meet the changing needs and preferences of society.

⇒ for example, if there's growing trend towards sustainability and eco-friendly practices/products, a business could start biodegradable goods or offer recycling services.

⇒ By understanding these social trends, businesses can adjust their strategies to better meet the demands of consumers.

⇒ Keeping up with social forces helps businesses stay relevant and competitive in the market.

⇒ By paying attention to these trends, entrepreneurs can identify new opportunities and tailor their businesses to meet the evolving needs of society.

Example of Social Trends

- Aging of the population
- Growth in the use of mobile devices

- The increasing diversity of the population.
- An increasing focus on health and wellness.

Trend 3: Technological Advances

- ⇒ Advances in technology frequently create business opportunities.
- ⇒ When technology gets better, it opens up opportunities for new businesses.
- ⇒ For example, think about:
how computers, the internet, biotechnology and digital cameras came into existence because of advancements in technology.
- ⇒ Once a new technology is invented, it leads to the creation of more products that make use of it or improve upon it.
- ⇒ As technology keeps getting better, it continues to create more opportunities

for new businesses and products, which helps the economy grow.
EX: ~~Rokit~~ Rokit Boost.

↳ high accessories company that makes smart-phones, headphones, portable USB device chargers and Bluetooth speakers.

Trend 4: Political Action and Regulatory changes

- ⇒ Political and regulatory changes also provide the basis for opportunities.
- ⇒ Political and regulatory changes, like new laws or government decisions, often lead to fresh chances for business opportunities.

General examples

- When the Affordable Care Act was passed in 2010, it opened up opportunities for entrepreneurs to start businesses related to electronic medical records and healthcare apps.

⇒ Events like global political instability and terrorism threats make companies more concerned about security.

⇒ This creates opportunities for businesses to develop new security technologies.

Specific examples

- Evolv technology is a start-up that gathers a team of experts to create new technologies for addressing current terrorism threats.

2. Solving a problem:

⇒ Sometimes identifying opportunities simply involves noticing a problem and finding a way to solve it.

⇒ These problems can be identified/spot by watching trends or just by chance.

⇒ It could be as easy as having a gut feeling and

stumbling upon something unexpectedly.

⇒ So, solving a problem and creating opportunities can come from anywhere, whether you're paying close attention or just happen to notice something that needs fixing.

⇒ Many companies have been started by people who have experienced a problem in their own lives, and then realized that the solution to the problem represented a business opportunity.

Examples

- Sometimes people can not charge their smartphones when they need to because they don't have access to electricity.

◦ To solve, this problem, some companies have come up with clever ideas.

◦ For instance, there's a gadget called the Eton Boost USB in 2000

, which costs \$70.

- It is small device that has a battery and a hand crank.

3. Finding gaps in the marketplace:

⇒ A third approach to identifying opportunity is to find a gap in the marketplace.

⇒ A gap in the marketplace is often created when a product or service is needed by a specific group of people but big stores or companies are not paying attention to it because they do not think it will make them enough money.

⇒ So, if you find one of these gaps, you might have a chance to create something new and helpful for that specific group of people.

Example:

◦ Tish Cisavolo noticed that there were not any guitars made specifically for girls and women.

So, she decided to create her own company called Daisy Rock Guitars to fill this gap.

◦ Daisy rock guitars are designed to be stylish and come in pretty colors that appeal to girls and women.

◦ They also have features that make them easier for women to play, like smaller sizes to fit their hand better.

◦ So, by filling this gap in the market, Daisy Rock Guitars offers something special for female musicians.

Windows of Opportunity

⇒ For an entrepreneur to capitalize on an opportunity, its window of opportunity must be open.

Definitions

- Describe the time period in which a firm can realistically enter a new market.
- Once the market for a new product is established, its window of opportunity opens.

How does it work?

1. Opening of the window-

⇒ When a new product or market emerges there's a chance for businesses to enter and grow.

⇒ As demand for the product increases, more firms enter the market to try and make profits.

maturity and closure

◦ At some point, the market matures, and the window of opportunity closes.

◦ The window of opportunity starts to close as it becomes harder for new entrants to compete successfully.

Example

⇒ Think of search engine market.

⇒ Yahoo was the first search engine, appeared in 1995 and the market grows quickly, followed by others like Lycos and Excite.

⇒ Google entered in the market in 1998 with advanced search technology. but now the market is mature, and it's tough for new search engines to succeed.

Why it is important?

⇒ Understanding the windows of time opportunity helps entrepreneurs their entry into markets for maximum success.

⇒ It highlights the importance of innovation and take hold of opportunity early to establish a strong position.

O-Write method/ Techniques for Generating

Ideas? (PP-2023)

⇒ Entrepreneurs generate numerous ideas to find the best opportunities for their businesses.

⇒ Several techniques help stimulate the creation of new ideas for products, services and ventures.

1. Brainstorming:

Def: A group method for obtaining new ideas and solutions.

What is it?

⇒ Brainstorming involves generating multiple ideas about a specific topic in creative and open-minded manner.

How does it work?

⇒ Formal brainstorming sessions may involve a group of people led by a moderator, where participants share ideas freely without criticism.

⇒ Ideas are recorded on a flip-chart or electronic whiteboard for later analysis.

Key Rules:

⇒ No criticism is allowed during brainstorming sessions to encourage a free flow of ideas.

Real-life Examples:

⇒ Entrepreneurs like Dr. Katie Rodan, co-founder of Proactiv, hosted informal brainstorming sessions with diverse groups of professionals to shape their business ideas.

⇒ Shanelle Klaus, founder of Oxy Soda, tested her ideas by seeking feedback from industry experts and potential customers.

Expanding Imagination:

⇒ Brainstorming encourage individuals to think creatively and explore unconventional ideas.

Encouraging Collaborations:

⇒ Focus groups and discussions with peers can also spark new ideas and refine existing ones through Collaboration and feedback.

Example:

○ Class Room Bug Reports for Creative thinking.

⇒ In class rooms, students are asked to create bug reports listing everyday annoyances, which encourages them to think beyond obvious problems and explore new perspectives.

⇒ Rules for formal Brainstorming Session:

1. No Criticism Allowed:

⇒ Participants must refrain from criticizing ideas, including non-verbal cues like chuckles or raised eyebrows. No negative comments.

⇒ Criticism can hamper creativity and discourage others from sharing their thoughts freely.

2. Encouragement of Freewheeling:

⇒ Quantity of ideas is desired.

⇒ Participants are encouraged to express ideas freely without any restrictions or constraints.

⇒ The goal is to generate as many ideas as possible, even if they seem crazy or unconventional, as they may lead to valuable insights or solutions. The greater number of ideas, the greater the likelihood of the emergence of useful ideas.

3. Session Pace:

⇒ The brainstorming session should move quickly without any delays.

⇒ Capturing the essence of ideas is prioritized over spending time on detailed documentation.

4. Encouragement of Leapfrogging:

⇒ Leapfrogging involves using one idea to quickly jump to other related ideas.

⇒ Participants are encouraged to build upon each other's ideas, fostering a collaborative and innovative environment.

⇒ Combinations and improvements of ideas are encouraged.

⇒ Ideas of others can be used to produce still another new idea.

2. Focus Groups

Definition:

Groups of individuals providing information in a structured format.

⇒ Focus groups are like little meetings where 5 to 10 people come together to talk about something important.

Why they used?

⇒ People use focus groups to think up new ideas, solve problems, or learn what others think about something.

⇒ generating new business concepts.

Who joins?

Usually, they invite folks who know a lot about the topic they are discussing.

Guidance:

⇒ A leader, called a moderator, helps everyone stay on topic and keeps the conversation on going.

How they work?

⇒ Everyone talks about the topic and they ask each other questions to understand it better.

⇒ For a new product idea, the moderator focuses the discussion

Process Involves group interaction to explore issues and respond to questions.

of the group in either a directive or non-directive manner.

⇒ Generating new ideas, the focus group is an excellent method for initially screening ideas and concepts.

Effectiveness:

⇒ Depends on the moderator's ability to ask pertinent questions and steer the conversation.

Example

Scenarios

⇒ Let say a coffee shop wants to know how to make their customers happier.

⇒ They get feedback from customers.

Feedback:

⇒ Participants may express preferences or suggest improvements like offering larger coffee packaging.

⇒ They want bigger bags of coffee for a better price.

Shop Decisions

⇒ Based on what they hear, the coffee shop might start selling bigger bags of coffee.

New ways to do focus group:

Using Social media

⇒ Some companies now use websites like Napkin Labs to gather opinions online.

How it works:

⇒ They ask people questions and everyone talks about it online, just like chatting with friends.

UseVoice and Get Satisfaction-

⇒ These sites also help companies hear what their customers want & think.

3. Brainwriting

Definitions

⇒ Brainwriting is a form of written brainstorming.

⇒ It was created by Bernd Rohrbach at the end of 1960s under the name method 635 and differs from classical brainstorming by giving participants more time to think than a Brainstorming session, where the ideas are expressed spontaneously.

⇒ Brainwriting is a silent, written generation of ideas by a group of people.

Process

⇒ The participants write their ideas on special forms or cards that circulate within the group of usually six members.

⇒ Each group member generates and writes down three ideas during a five minute period.

⇒ The form is passed on to the adjacent person who writes down three new ideas, and so on, until each form has passed all participants.

4. Problem Inventory Analysis

Definitions

⇒ A method for obtaining new ideas and solutions by focusing on problems.

Process

⇒ However, instead of generating new ideas themselves, consumers in the group are provided with a list of problems in a general product category.

⇒ They are then asked to identify and discuss products in this category that have the particular problem.

⇒ This method is often effective since it is easier to relate known products to suggested problems and arrive at a new product idea than to generate an entirely new product idea by itself.

⇒ PIA can also be used to test a new product idea.

Example:

Food industry.

⇒ One of the most difficult problems was in developing a list of problems, such as weight, taste, appearance and cost.

⇒ Once a complete list of problems is developed, individuals can usually associate products with the problem.

5. Library Research & Internet

⇒ A third approach to generating new business ideas is to conduct library and internet research.

Library Research

Underutilized Resources

⇒ Libraries have lots of helpful stuff, like magazines and reports, but not many people check them out.

Utilizing Resources

⇒ Consult with a reference librarian to identify relevant materials such as industry magazines, trade journals and reports.

Browsing Opportunities

⇒ Reading these materials can spark new ideas, and libraries have fancy databases for market research.

Internet Research

Starting points

⇒ Just type "new business ideas" into Google or Bing to find articles about what's trendy.

Email Alerts

⇒ Get daily updates on news and blogs about your topic by setting up alerts with Google.

Social Media Tips

⇒ Follow experts on Twitter to stay in the loop.

for example:

if you're into solar power, search "#solarpower" to find tweets about it.

Refining ideas

Getting help

⇒ Once you have an idea, find someone experienced to help make it even better.

finding a Mentor:

⇒ Learn how to find and work with mentors in the "Partnering for Success" feature.

6. Customer Advisory Boards:

What they do:

⇒ Some companies gather groups of customers to chat about what they like, don't like and what they need.

Why it's helpful:

⇒ These talks can give companies ideas for new products or ways to make existing ones better.

7. Anthropological Research

Understanding people:

→ Companies might study how people live and work to get ideas.
→ Day-in-the-life research.

Why it's useful?

⇒ By watching people companies can learn how to make their products work better or come up with new ones.

Example:

⇒ Intuit, known for software like Quicken and Quickbooks, send teams to observe how customers use their products in real-life settings.

Elements of Creativity:

- 1) fluency
- 2) flexibility
- 3) originality
- 4) Elaboration

Q. Define Creativity, give steps to generating creative ideas and Creative-problem Solving techniques.

It is desired from the word "creo" Definition - means 'to create' or 'make' way of thinking

Creativity is the process of generating a novel or useful idea.

⇒ Creativity is an important attribute of successful entrepreneurs

⇒ Creativity refers to ability:

1. Generating original and innovative ideas.

2. Solving problems in unique ways.

3. Identifying opportunities that others may overlook.

4. Thinking outside conventional boundaries.

5. Being open minded and flexible in approach.

6. Taking calculated risks to pursue new ventures.

ex: instagram, facebook

Stages of the Creativity Process:

Also known as "Wallas" model of ^{Psychology} ~~condition~~ ¹⁹²⁶

⇒ The Creative process can be broken into five stages:

1. Preparation (Conscious state) ^{The problem is first perceived & defined.}

⇒ Entrepreneurs background experience and knowledge ^{skills, work experience} brought to the opportunity recognition process.

⇒ Entrepreneurs need to gather relevant experience to spot opportunities effectively
→ ^{cutting off} ~~cutting off~~ ^{maximum information}

2. Incubation (Unconscious state) ^{we think that we cannot solve problem}

⇒ Incubation is the stage in which a person considers an idea or thinks about a problem; it is the "mulling things over" phase.

⇒ Incubation can be conscious or unconscious activity.

⇒ occurs when a person engaged in other activity. ^{period of rest}

⇒ Considering ideas or pondering over problem.

Deliberately turning away from Preparation stage called incubation.
 Also known as the absence of activity stage.

3. Insight "Aha" moment (illumination) stage

⇒ Flash of recognition when the solution to a problem is seen or an idea is born, also known as "eureka" experience. *The experience of sudden appearance of solution.*

⇒ The moment an entrepreneur recognizes an opportunity.

⇒ Sometimes this experience pushes the process forward, and sometimes it prompts an individual to return to the Preparation stage.

4. Evaluation - evaluating feasibility and viability of the idea.

⇒ In this stage,
 • Summarizing and analyzing the viability of an idea, often skipped but crucial for success.

5. Elaboration
 ⇒ Putting the creative idea into a final form, working out details, and transforming it into something of value, such as new product, service or business concept.

Creative problem Solving:

A method for obtaining new ideas focusing on the parameters.
 ⇒ Creativity can be unlocked and creative ideas and innovations generated by using any of the creative problem solving techniques.

Creative - Problem Solving Techniques

1. Brainstorming:

- Session starts with a problem statement.
- No group member should be an expert in the field of the problem.
- All ideas must be recorded.
- A good brainstorming session starts with a problem statement that is neither too narrow or not too broad.
- Once the problem statement is prepared, usually 8-12 individuals are

selected to participate.

2. Reverse Brainstorming:

- ⇒ Same like brainstorming, except that criticism is allowed.
- ⇒ Based on finding faults by asking such questions as
"In how many ways can this idea fail?"
- ⇒ A group method that focuses on negative aspects of a product service or idea as well as ways to overcome these problems.
- ⇒ Care must be taken to maintain group morale.
- ⇒ effectively used and stimulate innovative thinking.
- ⇒ The process usually involves:
 - Identification of everything wrong with an idea
 - followed by discussion of ways to overcome these problems.

3. Gordon method:

- ⇒ Begins with group members are not knowing the exact nature of the problem.
- ⇒ "Method for developing new ideas when the individuals are unaware of the problem."
- ⇒ The solution is not clouded by preconceived ideas and behavioral patterns.
- ⇒ Starts by mentioning a general concept associated with the problem.
- ⇒ Group responds by expressing a number of ideas.
- ⇒ Then a concept is developed, followed by related concepts, through guidance by the entrepreneur.
- ⇒ The actual problem is then revealed, enabling the group to make suggestions for implementation or refinement of the final solution.

4. Checklist Method:

- ⇒ Developing a new idea through a list of related issues and suggestions.

- ⇒ Entrepreneurs can use the list of questions or statements to guide the dissection of developing entirely new ideas.
- ⇒ Checklist may take any form and be of any length.

5. Free Association

- ⇒ Simplest method.
- ⇒ "Developing a new idea through a chain of word associations."
- ⇒ Process is as follows:
 1. A word or phrase related to the problem is written down.
 2. Then another and another, with each new word attempting to add something new to the ongoing thought process.
 3. A chain of ideas is being created ending with a new service idea emerging.

6. Forced Relationships

⇒ Process of forcing relationships among some product combinations.

⇒ Involves asking questions about objects or ideas in an effort to develop a new idea.

⇒ New combination and eventual concept is developed through a five step process:

1. Isolate the elements of the problem.
2. Find the relationships between these elements.
3. Record the relationships in an orderly form.
4. Analyze the resulting relationships to find ideas or patterns.
5. Develop new ideas from these patterns.

7. Collective notebook method:

- ⇒ Developing a new idea by group members, regularly recording ideas.
- ⇒ Process: A small notebook that easily fits in a pocket, containing a statement of the problem, blank pages and any pertinent background data is distributed.

- ⇒ Participants consider the problem and its possible solutions, recording ideas at least once, but preferably three times, a day.
- ⇒ At the end of a week, a list of the best ideas is developed, along with any suggestions.

8. Attribute Listing

⇒ In this method,

- ° Entrepreneurs list the attributes of an item or problem and then look at each from a variety of viewpoints (looking at the +ive and -ive).
- ° Through this process, originally unrelated objects can be brought together to form a new combination and possibly a new product that better satisfies a need.

9. Big-Dream Approach

- ⇒ Developing new idea by thinking without constraints.
- ⇒ Entrepreneurs dream about the problem and its solution, must think big.
- ⇒ Every possibility should be recorded and investigated without considering any negatives involved.

10. Parameters Analysis

⇒ Involves two aspects:

- ° Parameter Identification
- ° Creative synthesis.

Parameter identification

- ⇒ Analyzing variables in the situation to determine their relative importance.
- ⇒ After the primary issues have been identified, the relationships the parameters that describe the underlying issues are examined.

Creative synthesis

- ⇒ Through an evaluation of the parameters and relationships, one or more solutions are developed, this solution development is called creative synthesis.

